Initiating Coverage

24th November, 2022

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Sumitomo Chemicals India Ltd

Premium for Consistency

518, Maker Chambers V,
221 Nariman Point, Mumbai 400 021.
91-22- 2282 2992, 2287 6173
research@dalalbroachaindia.com,
equity.research@dalal-broacha.com

Bhavya Gandhi
022-6714 1486
bhavya.gandhi@dalal-broacha.com

Sumitomo Chemicals India Ltd (SCIL)

Initiating Coverage | **Agro-chemicals**

DALAL & BROACHA STOCK BROKING PVT. LTD.

Equity Research Desk

24 November 2022

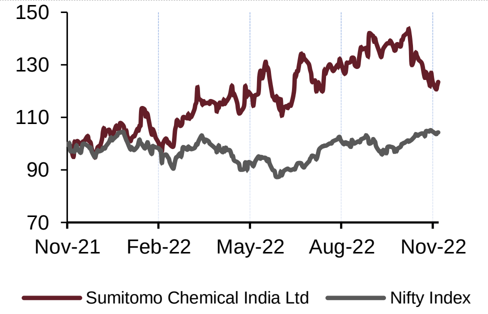
Premium for Consistency

Rating	TP (Rs)	Up/Dn (%)
BUY	**588**	**29**

Market data		
Current price	**Rs**	**455**
Market Cap (Rs.Bn)	(Rs Bn)	228
Market Cap (US$ Mn)	(US$ Mn)	2,787
Face Value	Rs	10
52 Weeks High/Low	Rs	541/ 341
Average Daily Volume	('000)	927
BSE Code		542920
Bloomberg		SUMICHEM.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	**Sep-22**	**Jun-22**
Promoters	75.0	75.0
Public	25.0	25.0
Total	100	100

Source: Bloomberg

Key Risks :

- Product Ban
- Effect of low or erratic rainfall
- Change in government policies
- Parent having delisted subsidiary companies in past

Investment Argument:

- ### 4 legs of growth to provide strong revenue visibility

1) **Exclusive Supply to SCC Japan (Parent):** To manufacture 5 proprietary technical grade products with a revenue potential of Rs.2,000-2,500 Mn p.a. Several other products are in pipeline. SCC Japan (Parent) has decided that no new additional facility will come in Japan for technical grade manufacturing & India is the **only technical grade manufacturing site outside Japan** & older molecules are expected to shift gradually to India. Every year we expect 1-2 additional technical grade products to shift to India. **(~Opportunity size over period : ~Rs.26,250 Mn || Assuming 1Bn US$ formulations sales requiring 35% technicals shifts to India)**

2) **Supply to Nufram Distribution Business:** SCC Japan (Parent) has recently acquired Nufram's distribution in Latin America to gain leadership position in Latin America generics market.Current revenue to SCIL from Nufram for FY22 stands at ~Rs.3,000 Mn which is expected to grow at CAGR of 30%.Currently Nufram sources technicals worth ~400 Mn US$ from China but after SCC Japan gaining control of it,procurement of technicals is likely to shift to India **(~Opportunity size over period : ~Rs.31,500 Mn || Assuming 1.2Bn US$ formulations sales requiring 35% technicals shifts to India)**

3) **Sumitomo India's Speciality Portfolio:** We expect Sumitomo India's speciality portfolio to grow at 15% CAGR on account of new product launches in 9(3) segment & several other products researched & developed by SCC Japan (Parent) which will be marketed & distributed in India.Speciality product contributed ~30% to overall sales in H1FY23. SCIL's speciality business has grown 20x from Rs.500 Mn to Rs.10,000 Mn in last 10-11 years. (**Refer exhibit 5)**

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	FY25E
Net sales	24,247	26,449	30,646	36,441	42,184	50,974
EBIDTA	3,331	4,869	5,999	7,133	8,492	10,510
Margins	13.7	18.4	19.6	19.6	20.1	20.6
PAT (adj)	2,284	3,453	4,235	5,017	5,938	7,338
Growth (%)	23.4	68.8	22.6	18.5	18.4	23.6
EPS	4.10	6.92	8.49	10.05	11.90	14.70
P/E (x)	111	66	54	45	38	31
P/B (x)	19	15	12	10	8	6
EV/EBITDA (x)	68	46	37	31	26	20
RoE (%)	19	22	22	21	20	21
ROCE (%)	25	30	30	28	28	28
RoIC (%)	22	35	29	28	30	32

Source: Company, Dalal & Broacha Research

Bhavya Gandhi
+91 22 6714 1444
bhavya.gandhi@dalal-broacha.com

4) **Sumitomo India's generic portfolio (Premium generics & Generic off patent):** Close to $4.1 Bn molecules are expected to go off-patent by 2026.SCIL has extensive manufacturing capabilities & wide distribution network across pan India which are the essential ingredients to harness this opportunity. SCIL's generic portfolio has grown 2x from ~Rs.8,000-10,000 Mn to ~Rs.20,000 Mn in last 5 years.

➢ Company level margins to be maintained providing EBITDA Margin visibility

SCIL has created strong moat by building brand stickiness with farmers & this allows company to easily pass on prices in raw material inflationary scenario. SCIL has ~1,500 on-ground field workers with no sales target but just to educate farmers thereby building long term relationship & brand stickiness. This helps SCIL command pricing power. Management has mentioned in various concalls they will continue to maintain company level EBITDA margin providing strong visibility.

➢ 15% of EBITDA to be reinvested every year as Capex

SCIL has decided to re-invest 15% of its EBITDA every year as capex providing strong revenue visibility & growth trajectory. SCIL aims to generate at least 2x asset turnover from capex & deliver company level EBITDA margin. SCIL has consolidated capex plan of ~Rs.4,250 Mn over FY23-25 which can generate revenue of ~Rs.8,500 Mn over next 3 years which is factored in our model.**(Refer Exhibit 14)**

➢ India Vision:

- **Short term vision**

SCIL has ~12-13% market share in domestic agrochemical market while it garners 3rd or 4th position. SCIL has big vision for India aiming to be No.1 in domestic agrochemical market for which it will have to out-perform peers through new product launches, increase its distribution network, inorganic acquisitions or brownfield/greenfield projects. SCC Japan's focus is on scaling Indian operations as it will be a major revenue driver at group level

(Refer SCC Japan investor presentation Pg 26 :

https://www.sumitomo-chem.co.jp/english/ir/event/files/docs/re_200528e.pdf)

- **Long term vision**

As IT hardware manufacturing scales up in India, SCIL has plans to launch IT-related chemicals. In India, IT hardware manufacturing is still at a nascent stage, currently only assembly is done is India ; Indicative timeline : 5 years

Amazing fact:
Sumitomo Japan has close to 80% market share in OLED & LED related chemicals

➢ Fully integrated player from R&D to manufacturing to distribution

SCIL is fully integrated agrochemical player having full control of entire value chain. Royalty free know-how sharing of R&D is available from parent who is also the innovator of various molecules. In-house manufacturing capabilities of key technical & formulations at strategically located 5 manufacturing plants coupled with one of the largest distributor network of 16,000+ & dealer network of 40,000+ across India makes it a formidable player in Indian agrochemical space.

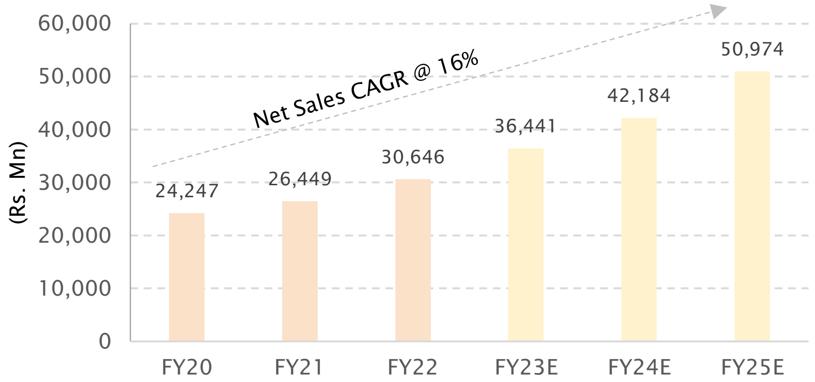
➢ Diversified portfolio with low geographical & product concentration

SCIL has a very diverse product portfolio with no single product contributing more than 16% of overall revenue thereby reducing product concentration risk. SCIL has more than 200+ brands with 700+ SKUs creating strong stickiness with farmers & dealers. Top 10 products contributes less than 45% of total revenue. Also revenue is diversified across key crops, going forward concentrated efforts are being made to focus on high growth segments such as fruits, vegetables & paddy. SCIL has 20+ mega brands with high brand recall.

➢ Phase 2.0 to focus on commercialization of molecules

For years Sumitomo Chemicals was focused on R&D & did not participate in giant global mergers, now entire focus is on commercialization & distribution of these molecules. SCIL 2.0 is focused approach on commercialization of researched molecules to gain leadership position. Sumitomo Chemicals was issued 2,248 patents in crop protection segment between 2012-19 & generated a revenue of US$ 2,575 Mn whereas Bayer was issued 3,792 patents during same period & generated a revenue of US$ 12,600 Mn clearly indicating lack of commercialization in comparison to patents issued. This puts SCIL in a sweet spot. For detailed explanation **(Refer exhibit 19)**

Exhibit 1: Strong revenue visibility to enable sales growth of 16% CAGR



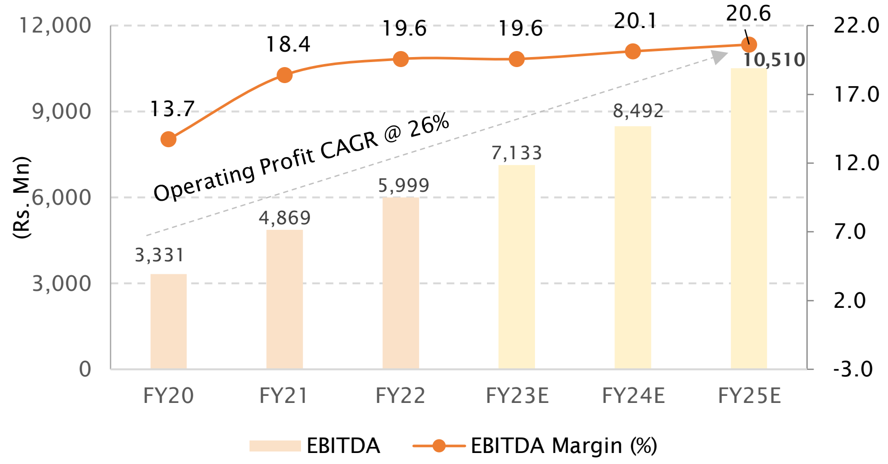
Particulars Rs. Mn	FY20	FY21	FY22	FY23E	FY24E	FY25E	CAGR FY19-22	CAGR FY22-25
Sumitomo India Generic Portfolio	13,772	14,928	16,733	17,922	20,870	23,791	10%	12%
Growth Y-o-Y (in %)		8%	12%	7%	16%	14%		
Sumitomo India Speciality Portfolio	5,625	7,025	7,171	8,247	9,484	10,906	13%	15%
Growth Y-o-Y (in %)		25%	2%	15%	15%	15%		
Total Domestic Sales	**19,398**	**21,953**	**23,904**	**26,169**	**30,353**	**34,698**	**11%**	**13%**
Growth Y-o-Y (in %)		13%	9%	9%	16%	14%		
Supply to Nufram (LATAM)	485	1,058	3,065	3,984	5,179	6,733	151%	30%
Growth Y-o-Y (in %)		118%	190%	30%	30%	30%		
Supply to SCC Japan (Parent)	-	-	-	2,500	2,750	5,525		
Growth Y-o-Y (in %)					10%	101%		
Other Exports	4,364	3,438	3,678	3,788	3,901	4,019	-8%	3%
Growth Y-o-Y (in %)		-21%	7%	3%	3%	3%		
Total Exports	**4,849**	**4,496**	**6,742**	**10,272**	**11,831**	**16,276**	**18%**	**34%**
Growth Y-o-Y (in %)		-7%	50%	52%	15%	38%		
Total	**24,247**	**26,449**	**30,646**	**36,441**	**42,184**	**50,974**	**12%**	**18%**
Growth Y-o-Y (in %)		9%	16%	19%	16%	21%		

Source: Company, Dalal & Broacha Research

(Certain assumptions have been used to arrive at category breakup due to limited available data ; actual segment numbers could vary from our estimates)

We believe SCIL has 4 strong verticals which can help deliver healthy sales growth of 18% CAGR over FY22-25 mainly on account of increased export sales to LATAM (expected to grow at 30% CAGR), exclusive supply to SCC Japan (Parent) & strong product pipeline in Indian generic & specialty market.

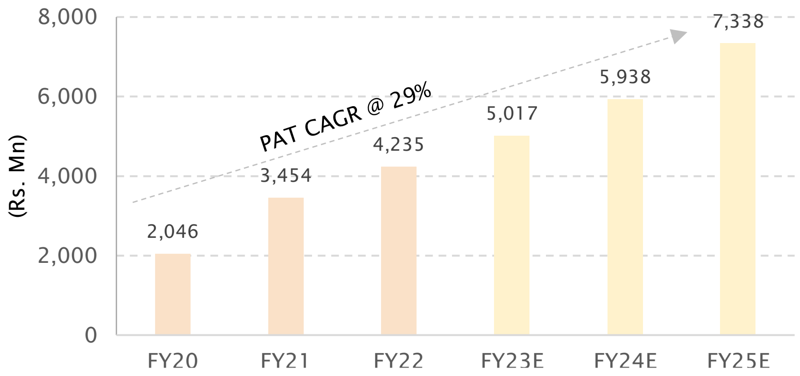
Exhibit 2: Operating Profit to benefit from operating leverage & new product launches



Source: Company, Dalal & Broacha Research

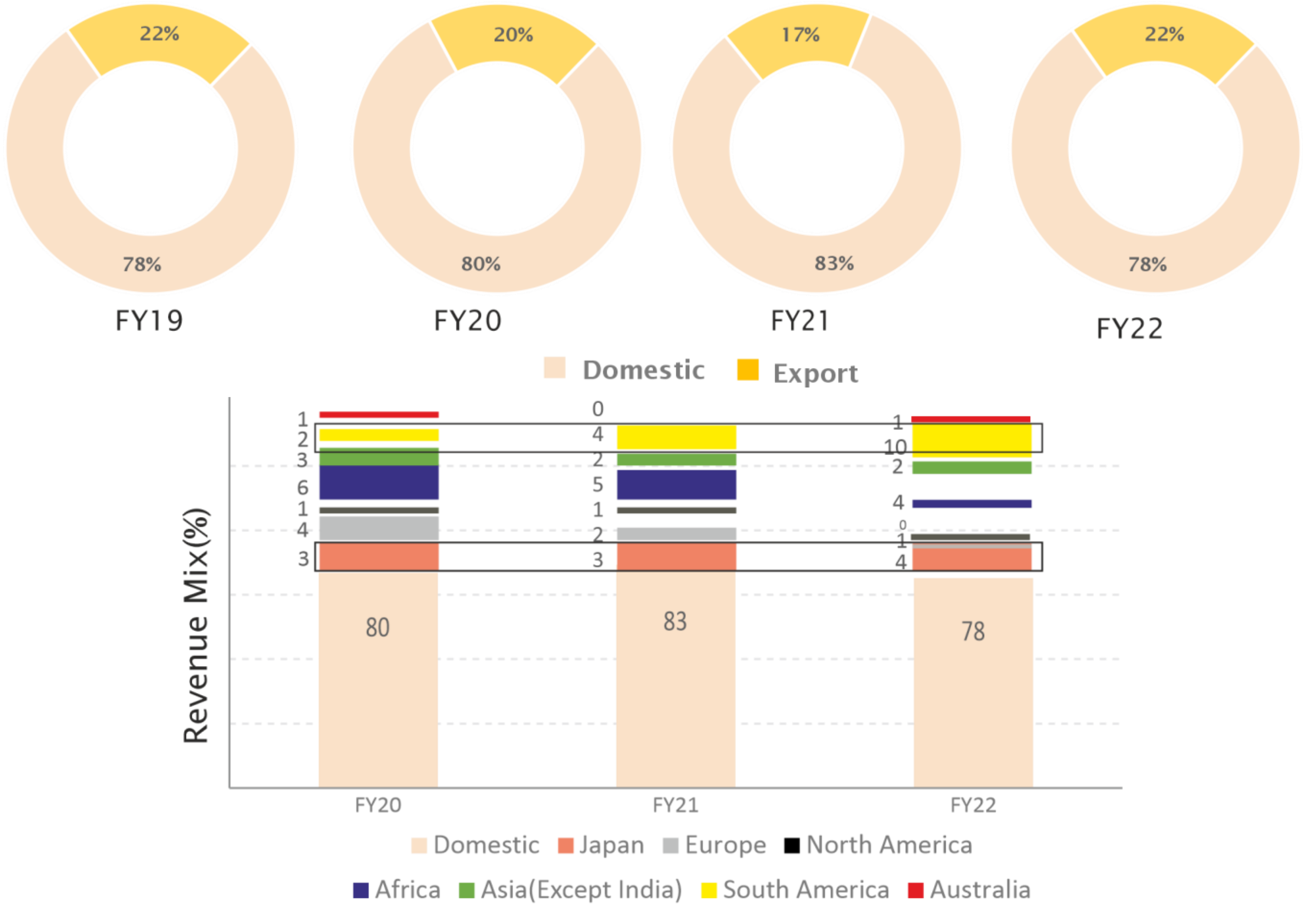
We expect SCIL's operating profit to compound at much faster rate than revenue on account of operating leverage & introduction of high margin products in 9(3) category. Also we expect gradual expansion in EBITDA margin by 50 bps in FY24 & FY25 on raw material inflation easing & scale benefits.

Exhibit 3: We expect PAT to compound at 29% over FY20-25



Source: Company, Dalal & Broacha Research

Exhibit 4: Geographical Breakup of revenue



Source: Company, Dalal & Broacha Research

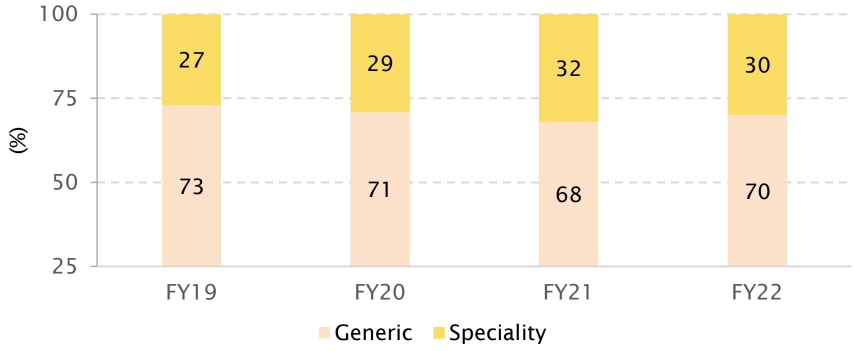
Over the years exports to LATAM has increased from 2% in FY20 to 10% in FY22 mainly on account of supply to Nufram* where SCIL's product goes in combination with other products. Currently Nufram has a combined generic + speciality formulation sales of $1.2Bn of which roughly ~35% would be technicals used to manufacture end formulations creating an opportunity size of $400mn whereas current technical sales to Nufram is only 10% of overall technicals procured by it. Rest is still procured from China which is gradually expected to shift to India.We expect sales to LATAM to compound at a rate of 30% over next few years which is factored in our revenue model.

(*Nufram = SCC Japan has acquired 4 South American subsidiaries of Nufram & deal was closed on 1st April 2020 ; SCC Japan aims to accelerate sales of new products by leveraging the distribution network of Nufarm ; SCIL will benefit indirectly by supplying technicals to Nufarm LATAM which it is currently sourcing from China ; Refer Exhibit 10 & 27 for more details)

Did you know?

Tebuconazole which is a combination product used with Indiflin (Patented molecule) by Nufram in LATAM had a manufacturing capacity of 700 tons by SCIL which got expanded to 1350 tons this year & SCIL is looking to add another 1500 tons in upcoming new site thereby doubling the overall capacity.

Exhibit 5: Segment Breakup (%) ; Speciality augurs well with generic



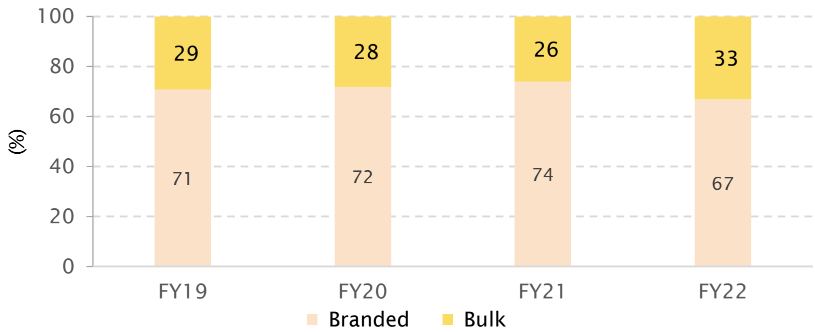
Source: Company, Dalal & Broacha Research

Over the years Sumitomo Chemicals has realized to scale speciality portfolio one needs to have strong generic basket to cross sell speciality products along with robust distribution network from where farmer procures products on routine basis. Excel Crop care was largely a generic product company with wide distribution network & strong stickiness which was essential to market high end speciality products. Over the year SCIL has been able to expand margins by leveraging the generic distribution network of Excel Crop care & by selling high value speciality products. Excel crop was merged in FY19-20 with SCIL

On similar lines, SCC Japan (Parent) also bought the distribution network of Nufram in LATAM which is largely a generic distribution company. Before acquisition of Nufram distribution business in LATAM, Nufram had a revenue of close to 800 Mn US$ & Sumitomo LATAM with its speciality portfolio of ~10 products was doing a revenue close to 100 Mn US$

Post-acquisition of Nufram distribution business in LATAM, Sumitomo LATAM was able to double the sales of speciality from 100 Mn US$ to 200 Mn US$ clearly indicating combination of generic + speciality augurs well. Also during the same period generic sales rose from 800 Mn US$ to 1Bn US$ thereby having total sales of close to 1.2Bn US$ in LATAM.

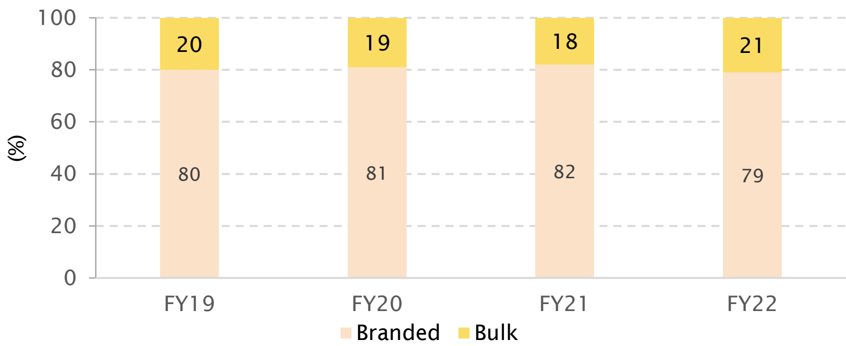
Exhibit 6: Overall Bulk (B2B) & Branded Mix (B2C) (%)



Source: Company, Dalal & Broacha Research

SCIL has ~30% revenue coming from bulk technicals & ~70% revenue from branded formulations.

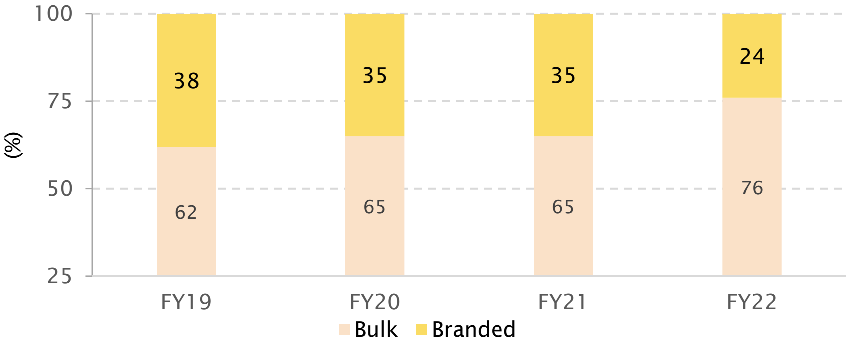
Exhibit 7: Bulk (B2B) & Branded Mix (B2C) in Domestic Market (%)



Source: Company, Dalal & Broacha Research

SCIL has strong branded formulation business in domestic market along that has led to stickiness with farmers. SCIL has close to 20+ mega brands with high brand recall.

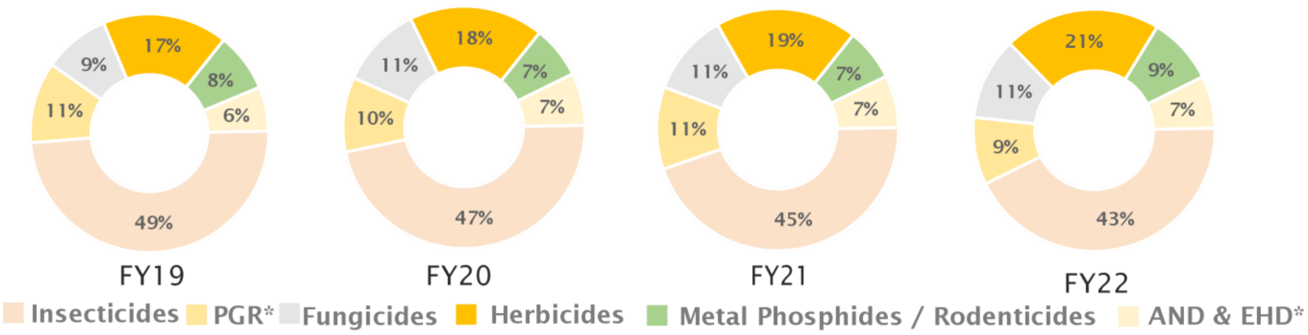
Exhibit 8: Bulk (B2B) & Branded Mix (B2C) in Exports Market (%)



Source: Company, Dalal & Broacha Research

SCIL has more of technical sales in export market as it is the only technical manufacturing facility outside Japan & as sales to LATAM & supply to SCC Japan (parent) increases we expect technical contribution to rise further

Exhibit 9: Product Breakup



Source: Company, Dalal & Broacha Research

*(PGR : Plant growth regulator ; EHD : Environmental Health Division)

SCIL has a diverse range of product basket reducing product concentration risk. Plant growth regulator(PGR) is a high margin segment for SCIL which ranges from 8-10% of overall revenue for SCIL vs industry having 5% of overall revenue. SCIL is expected to launch 3 new PGRs this year. SCIL has been instrumental in creating a new product market of PGRs in India. Sales of PGR is expected to grow drastically as Indian farmers start exporting their crops & PGR becomes essential to improve the product taste, size ,color, texture etc. Over the years herbicide contribution to overall revenue has increased from 17% in FY19 to 21% in FY22 mainly on account of new product launches in this segement & rising glyphosate prices. Insecticide remains a large contributor to overall portfolio of SCIL as domestically insecticides has the largest mix of ~50%+ to overall agrochemical market. SCIL's greater focus is on high growth, stable & high profitable segments such as Herbicides, PGRs & Bio-rational products. SCIL has offerings for both Kharif and Rabi crops to reduce seasonality in the business. SCIL has one of the highest proportion of environmentally-friendly products in the Industry. For the next phase of growth SCIL has plans to introduce bio-rationales in Indian market by leveraging the technology & product basket of Valent Bio-sciences (recent acquisition by parent SCC Japan).

Did you know?

Amazing fact about SCIL's PGR Product

SCIL has a plant growth regulator (PGR) by the name of PROGIBB (Technical Name : Gibberelic Acid) which it sells at 3x price of Chinese product in Indian market.

This is because of the stickiness it has built over the years with Indian farmers.

In seedless table grapes, ProGibb enlarges the cluster, thins excessive fruit and increases berry size.

To know more visit :

http://www.sumichem.co.in/plant-nutrition-and-plant-growth-regulators.php

Exhibit 10: SCIL's Key Product Basket

Sr.No.	Product Name	Product Category	Indicative Use
1	Glyphosate	Herbicide	Tea Gardens, non-cropped
2	Profenophos	Insecticide	Cotton, Soya bean
3	Dantotsu	Insecticides	Vegetables
4	Tebuconazole	Fungicides	Wheat, Soya bean, Chilli
5	Progibb	Plant Growth Regulator	Citrus Fruits
6	Aluminum Phosphide	Fumigant	Warehousing of Food Grains
7	Chlorpyriphos	Insecticide	Paddy, Beans, Gram
8	DL-Methionine	Animal Nutrition	Poultry

Source: Company, SCIL Investor Presentation,Dalal & Broacha Research

SCIL has a very diverse product portfolio with no single product contributing more than 16% of overall revenue thereby reducing product concentration risk. It's key product Glyphosate is in the range of ~11-12% of overall revenue. Company is also expected to double its tebuconazole product capacity in next few years. SCIL has more than 200+ brands with 700+ SKUs creating strong stickiness with farmers & dealers. Top 10 products contributes less than 45% of Total Revenue. Also revenue is diversified across key crops, going forward concentrated efforts are being made to focus on high growth segments such as fruits, vegetables & paddy. SCIL has 20+ mega brands with high brand recall.

Exhibit 11: Back to back product launches in different segments to provide strong revenue growth

Product Launches	No.	Products
FY21	3	Insecticides
	2	PGR
	2	Herbicide
Total	7	

Product Launches	No.	Products
FY22	1	Herbicide
	1	Fungicide
	4	Insecticides
Total	6	

Product Launches	No.	Products
Q1FY23	3	Insecticide
	1	Metal Phosphide
	3	PGR Products
Total	7	

Product Launches	No.	Products
H1FY23	3	Insecticide
	1	Fungicide
	1	Metal Phosphide
	3	PGRs
Total	8	

Category	Brand Name	Patented/ Generic	Crop Type	Purpose	Revenue Potential	Remarks
9(3)	Sumi Blue Diamond	Patented	Paddy	Better crop growth & higher yield	Unknown	First Approved PGR in granule segment
9(3)	Pyclome	Patented	Cotton & Brinjal Crops		Unknown	
9(3)	Danitol NXT	Patented	Rice growers	Safe & unique EW Formulation	Unknown	

Source: Company, Dalal & Broacha Research

In H1FY23 itself SCIL has launched 8 new products across different categories with few products introduced for the 1st time in India under 9(3) category. H1FY23 saw a massive revenue growth of 24.5% on YoY basis mainly on account of new product launches. Several exclusive products are under pipeline from parent basket which are expected to commercialize in next 2-3 years.

Exhibit 12: Indicative timeline of commercialisation of newer molecules under pipeline

Indicative Timeline of Commercialisation of Molecules	
Q2FY23	Started commercialisation of 1 molecule for Parent SCC Japan
Q3 & Q4FY23	Revenues of above 1 molecule for parent SCC Japan to start flowing
Q1FY24	Commercialisation of 4 new molecules for parent
FY24	Commercialisation of Bio-rationals
FY25	New Molecules from parent or export molecules

Source: Company, Dalal & Broacha Research

Exhibit 13: Future ready

Strategically Located Manufacturing Facilities

Plant Location	Area (acres)	Segment Served	Product Manufactured
Bhavnagar	~58	Manufacturing of Technical Grade Pesticides an	**Technical Grade Products:** Chlorpyriphos, Profenophos' Glyphosate, Tebuconazole Tech, Quinalphos, Imidacloprid, Thiacloprid, Acetamiprid, Byspyribac Sodium, Fluroxypyr, Aluminium Phosphide, Zinc Phosphide, Sulphur WDG, Fenpropathrin
Gajod	~120	Production and manufacturing of Metal Phosphides, Sulphur WDG and other WDG formulations	
Tarapur	~5	Production and manufacturing of Active Ingredients	
Vapi	~6	Formulation & Packaging	Formulations for above TG products and several other speciality and generic products
Silvassa	~3	Formulation of Glyphosate and Other Speciality Products	

Source: Company, Dalal & Broacha Research

SCIL has 5 manufacturing plants strategically located in Gujarat & Maharashtra with close proximity to highways & ports. SCIL is future ready for expansion plans for which they have signed and registered agreements to buy 2 additional land parcels and transfer process is expected to be completed soon.

Land Parcel 1 : ~20 acre privately owned land parcel adjoining existing Bhavnagar site.

Land Parcel 2 : ~50 acre privately owned land parcel at a prime location at Dahej within PCPIR Zone.

Did you know?
SCIL manufactures key technicals in-house rather than out-sourcing it to other companies having full control of the value chain.
Manufacturing technicals in-house helps to increase product life-cycle even after product going off-patent as the technology & R&D largely remains guarded.

Exhibit 14: Capex Plans to drive future growth

Capex (Rs.Mn)	EBITDA of previous year (Rs.Mn)	15% of EBITDA	Regular Capex (Rs.Mn)	Additional Capex (Rs.Mn)	Total Capex (Rs.Mn)	Expected Asset T/O (x)	Revenue Potential (Rs.Mn)	Expected Margin (%)
FY23E	-	-	700	600	1,300	2x	2,600	In-line with current company level margin
FY24E	7,133	1,070	1,070	600	1,670	2x	3,340	In-line with current company level margin
FY25E	8,492	1,274	1,274	-	1,274	2x	2,548	In-line with current company level margin
				Total	**4,244**		**8,488**	

Source: Company, Dalal & Broacha Research

SCIL has decided to re-invest 15% of EBITDA every year for future growth. SCIL is expected to invest ~Rs.4,250 Mn over 3 years & can generate estimated revenue close to ~Rs.8,500 Mn from above capex which is factored in our model.

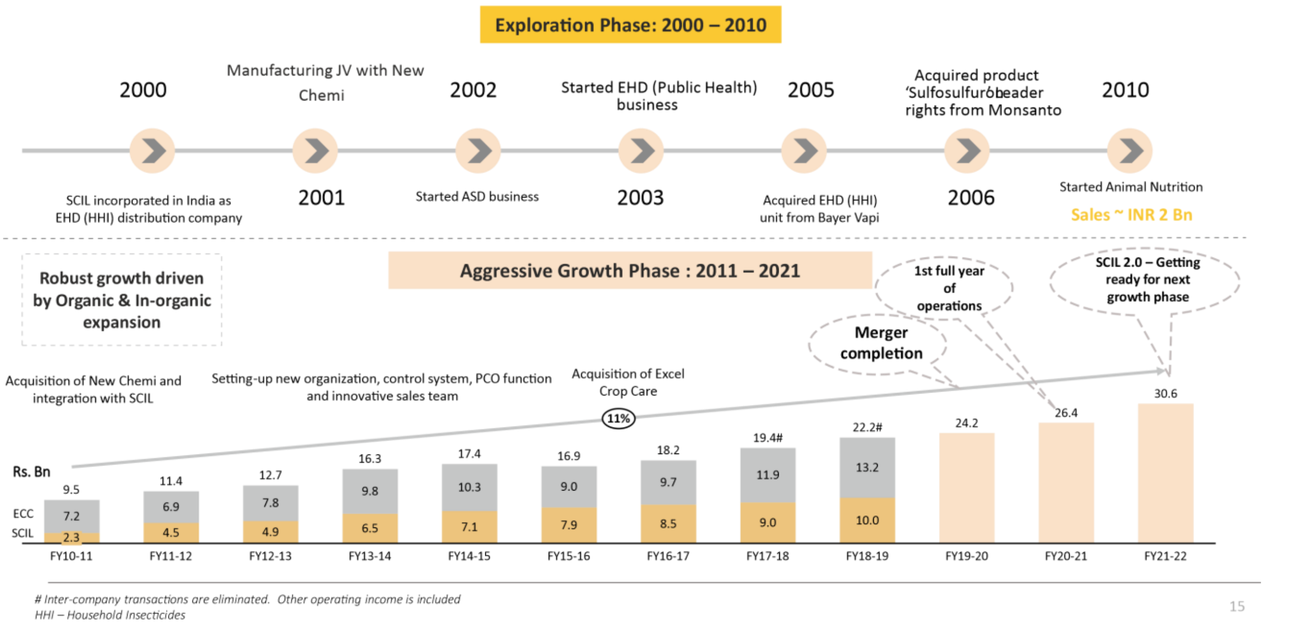
Capex of Rs.1,200 Mn in FY23 & FY24 pertains to 5 exclusive product manufacturing for parent SCC Japan which is currently only 20% of global demand which is shifted to India. Current revenue potential from these products is close to Rs.2,600 Mn p.a with target commercialization over next 1 year. Consolidated opportunity from these molecules could be upward of ~Rs.12,500-13,000 Mn p.a. *(Based on internal assumptions & calculations ; real figures may vary)*

Exhibit 15: Strong dealer & distributor network spread across 23 states

Source: Company, Dalal & Broacha Research

SCIL has a strong direct distributor network of 16,000+ & dealer network of 40,000+ which it leverages to sell its speciality & generic products across 23 states. SCIL has 1500+ on-ground field/market development officers with no sales target but to educate farmers about the products & usage which has led to strong stickiness with farmers creating a moat for the company. Also various digital initiatives has been instrumental in building farmer network of 4.4 Mn farmers.

Exhibit 16: Growth of 13x in India in last 11 years



Source: Company, SCIL Investor Presentation,Dalal & Broacha Research

Organically SCIL has grown at 6x in last 11 years indicating a sales CAGR of 18% whereas on inorganic basis company has grown at a whopping CAGR of 27% in last 11 years. We expect this momentum to continue especially because of new product launches, exclusive supply to parent SCC Japan & supply to Nufram's LATAM business which is recently acquired by SCC Japan. Going forward we expect sales to grow at a CAGR of 18% over FY22-25.

SCIL's speciality business has grown 20x from Rs.500 Mn to Rs.10,000 Mn in last 10-11 years whereas SCIL's generic portfolio has grown 2x from ~Rs.8,000-10,000 Mn to ~Rs.20,000 Mn in last 5 years adding to total revenue to ~Rs.30,000 Mn (FY22 revenue)

SCC Parent did not participate in any large mergers in last decade but went for smaller acquisitions & spent heavily on R&D which is explained in Exhibit 19.SCIL 2.0 is largely commercializing these patented molecules developed by in-house R&D & reap the benefits of it.

Exhibit 17: Improving CFO/EBITDA over the years provides significant re-investment opportunity

CFO/EBITDA	FY18	FY19	FY20	FY21	FY22
Net Cashflow from Operations (Rs.Mn)	474	777	2,214	4,254	2,218
EBITDA (Rs.Mn)	2,171	2,907	3,331	4,869	5,999
CFO/EBITDA (%)	**22%**	**27%**	**66%**	**87%**	**37%**

Source: Company, Dalal & Broacha Research

Better debtor management has helped SCIL to improve CFO/EBITDA over the years especially after merger with Excel Crop care.FY22 over working capital was stretched as company had to stock higher inventory to manage supply chain crises along with rising inflation. We expect better liquidation along with debtor management SCIL will maintain CFO/EBITDA in the range of 65-70%

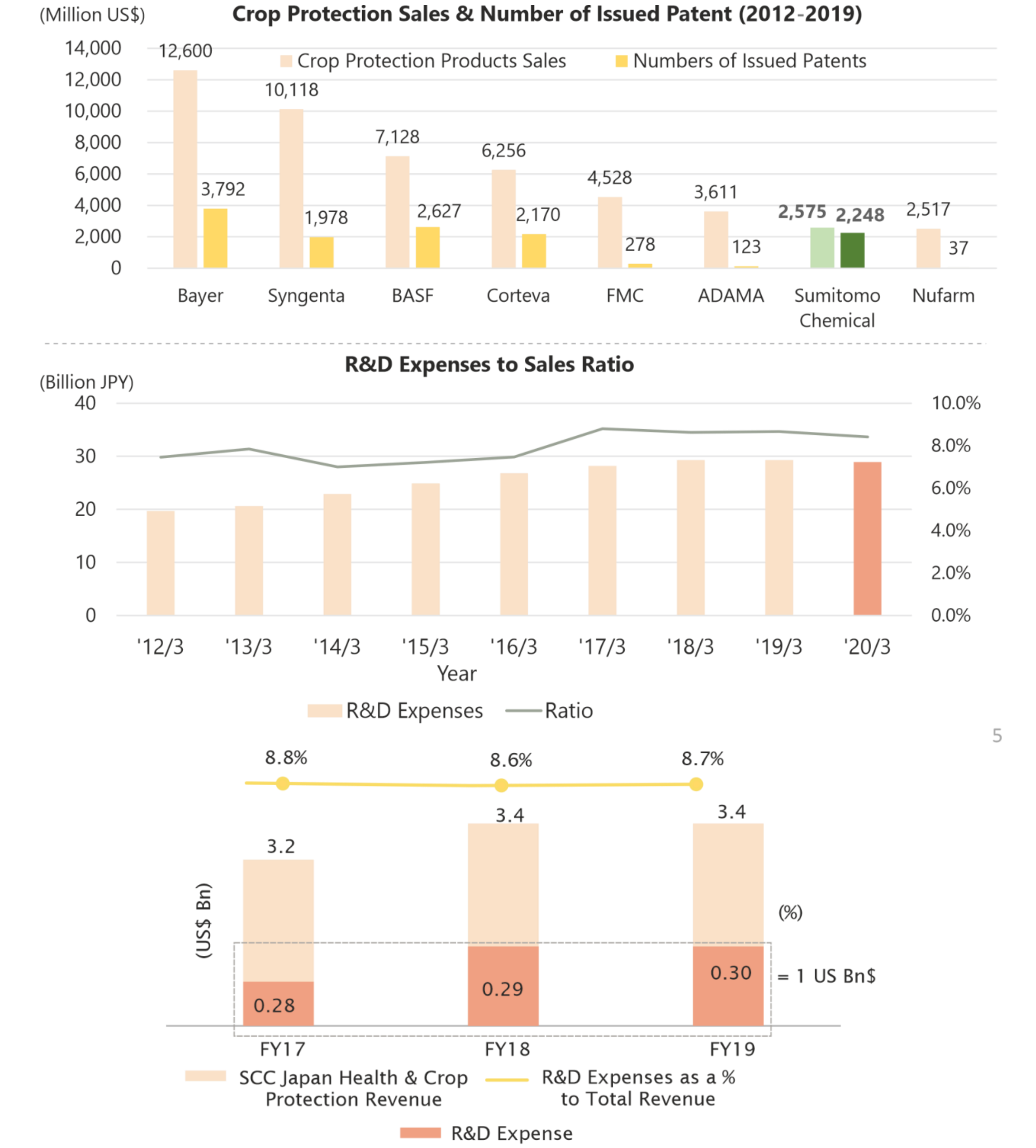
Exhibit 18: Effective working capital management in a seasonal industry

Particulars (In days)	FY19	FY20	FY21	FY22
Inventory Days	170	134	166	179
Trade Receivables Days	110	128	117	100
Trade Payables Days	120	111	130	99
Other Financial Liabilities Days	29	35	49	48
Net Working Capital Days	**131**	**115**	**104**	**133**

Source: Company, Dalal & Broacha Research

Working capital days are in-line with industry standard & are usually in the range of 115-130 days,we expect this range to continue going forward. Supply to SCC Japan will further improve working capital days going forward due to better payment conditions with parent vs industry days.

Exhibit 19: Phase 2.0 to focus on commercialisation of molecules ; Close to ~1Bn US$ of R&D expense by Parent ; One of the highest R&D Spenders amongst peers in last few years

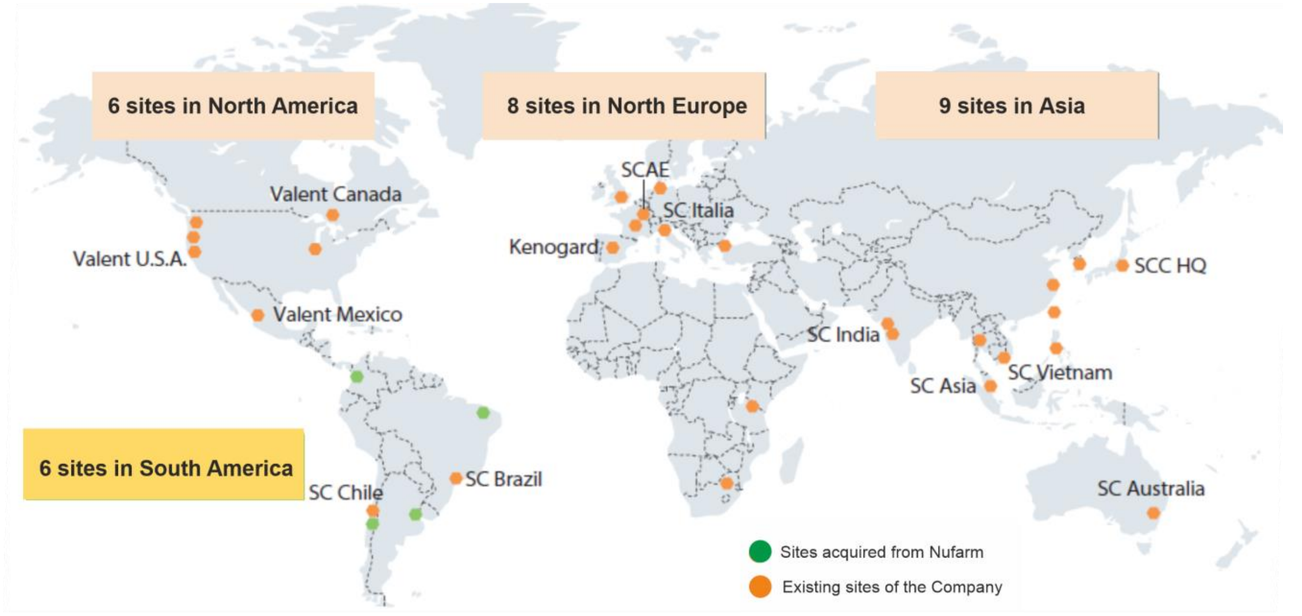


Source: Company, SCC Japan Investor Presentation, Dalal & Broacha Research

For years Sumitomo Chemicals was focused on R&D,it spent close to 1Bn US$ on R&D in last few years. It was one of the highest R&D spenders amongst peers & did not participate in any giant global mergers. Going forward entire focus is on commercialization & distribution of these molecules. SCIL 2. 0 is focused approach on commercialization of researched molecules to gain leadership position. Sumitomo Chemicals has a pipeline of close to 1Bn US$ of speciality molecules.

Sumitomo Chemicals was issued 2,248 patents in crop protection segment between 2012-19 & generated a revenue of US$ 2,575 Mn whereas Bayer was issued 3,792 patents during same period & generated a revenue of US$ 12,600 Mn clearly indicating more R&D spend & less commercialization of molecules. Going forward entire focus is on commercialization & distribution of these molecules.

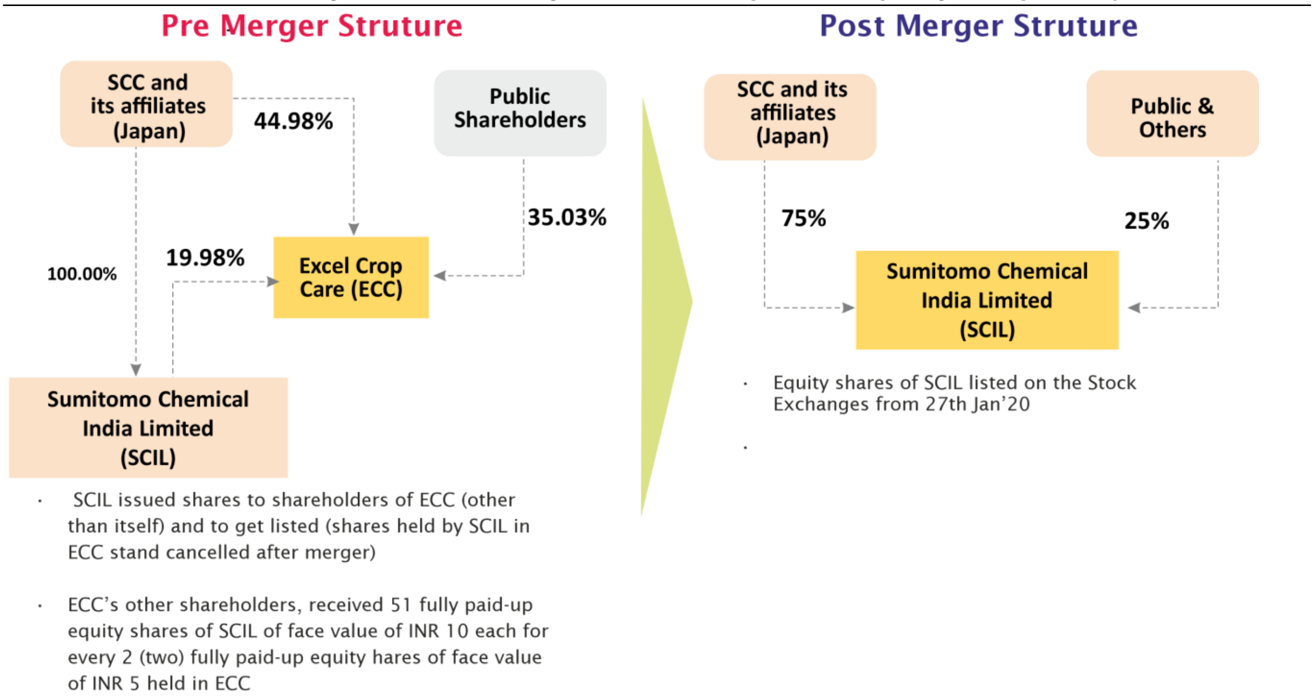
Exhibit 20: Site-map of SCC Group



Source: Company, Dalal & Broacha Research

SCC has global presence across different continents. However,SCIL & Sumitomo Japan are the only technical manufacturing facilities across globe.

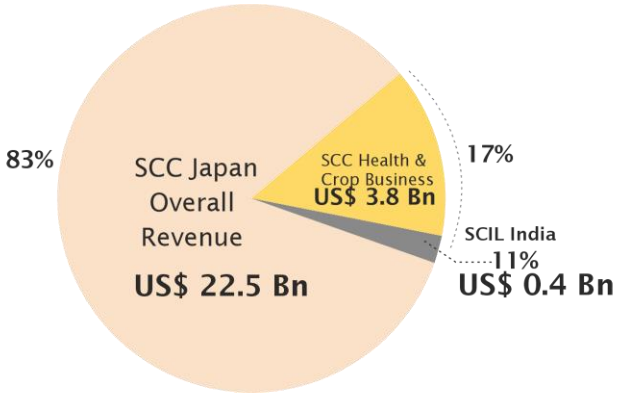
Exhibit 21: Pre & Post merger structure Merger of Excel Crop Care helped grow speciality business



Parameter	ECCL	SCIL (Pre - Merger)	SCIL (Post - Merger)
Manufacturing Facilities	Plants in Gujarat (2) and Dadar & Nagar Haveli (1)	Plant in Maharashtra (1) and Gujarat (1)	5 plants in West India
Manufacturing Capability	Predominantly a formulation company with facilities for both formulation & technical	Manufacturing of formulations	Presence in both technical & formulation manufacturing
Distribution Capability	4,700+ distributors located across India	9,000+ distributors concentrated in few regions	Improved depth and breadth of the distributors
R&D Capability	3 fully equipped R&D facilities for synthesis and formulation of chemicals	Outsources R&D requirements	Creating new combinations using SCIL's chemistries
Industry Sub - segments	Insecticides (44%), Herbicides (27%), Fungicides (11%), Metal Phosphides (13%), Others* (5%)	Insecticides (63%), Fungicide (8%), Herbicide (7%) & Others*(22%)	Insecticides (52%), Herbicides (19%), Fungicides (9%), Metal Phosphides (8%), Others* (12%)
Product Capability	Major focus on Generics; nascent presence in Biopesticides	Major focus on Speciality Products	Presence across complete range of products
Business Segments	Presence only in agrochemical segment	Presence in ASD, AND segments^	ASD focused with presence in EHD^
Range of Crops Served	Staple crops with major presence in Kharif season	Fruits and vegetable crops covering both Kharif and Rabi season	Well diversified product range covering Kharif & Rabi crops
Customer Concentration -	Top 5 customers contributes to ~12% of sales	Top 5 customers contributes to ~15% of sales	Top 5 customers contribute ~12% of sales
S&M Capability	Strong wide spread presence with the distributors / retailers	High degree of engagement with the farmers	Strong presence with both the retailers and farmers

Source: Company,SCIL Investor Presentation,Dalal & Broacha Research

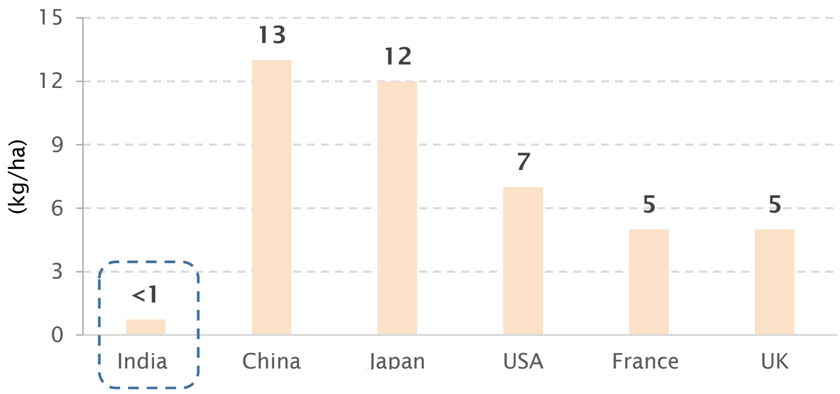
Exhibit 22: SCIL contributes ~11% to overall revenue of SCC Health & Crop protection business



Source: Company, Dalal & Broacha Research

SCIL is flagship entity of SCC group focusing on high potential Indian market. SCIL is still a small contributor to SCC Japan's overall revenue & has immense potential to grow as SCC Japan's focus has shifted on growing health & crop business as other segments like petrochemicals & plastics have shown relatively lower growth.
SCC's health & crop division contributes 17% to overall revenue of SCC Japan whereas SCIL is 11% of SCC's health & crop protection business

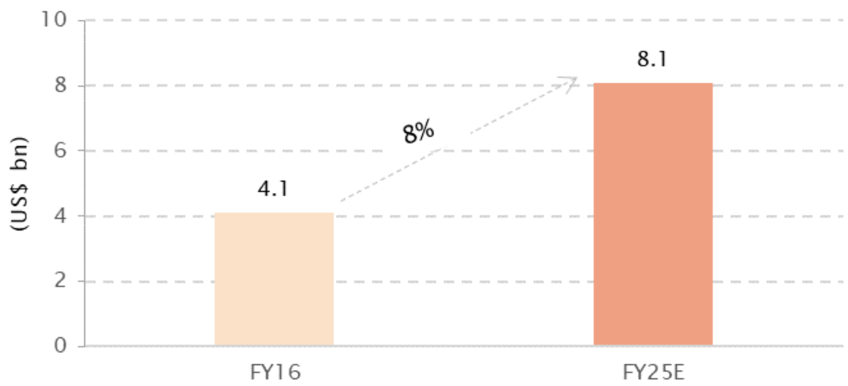
Exhibit 23: India is one of the lowest pesticide consuming country;Huge head room to grow



Source: Company, Dalal & Broacha Research

Pesticide consumption in India is close to 0.7kg/hectre vs developed countries which are far ahead of us. However, the key reason of lower consumption is over the years efficacy of newer molecules has increased & thus quantity usage decreases with time. High value molecules with low concentration replace older concentrated ones.

Exhibit 24: Significant growth opportunity for Indian Players (Agrochemical Market Size (US$ bn)



Source: Company, Dalal & Broacha Research

Globally, India is the 4th largest producer of agrochemicals after the United States, Japan and China and has emerged as the 13th largest exporter of pesticides.

Exhibit 25: Draft order to ban 27 pesticides by Govt of India

Type	Products
Insecticides/Acaricides	Acephate, Benfuracarb, Carbofuran,Chlorpyrifos, Deltamethrin, Dicofol, Dimethoate, Dinocap, Malathion, Methomyl, Monocrotophos, Quinalphos, Thiodicarb
Herbicides	Atrazine,Butachlor,Diuron,2,4-D,Oxyfluorfen,Pendimethalin,Sulfosulfuron
Fungicides	Captan,Carbendazim,Mancozeb,Thiophanate-methyl,Thiram,Zineb,Ziram

Source: Company, Dalal & Broacha Research

On May 18, 2020, Ministry of Agriculture and Farmers' Welfare proposed a ban on manufacture, sales & import of 27 pesticides in India. SCIL undertakes manufacturing of 2 technical grades from the above list namely Chlorpyriphos & Quinalphos. Based on discussion with industry veterans, banning of Chlorpyriphos & Quinalphos is unlikely due to wide spread use by farmers & food security concerns.

Exhibit 26: The Glyphosate Saga

[भाग II—खण्ड 3(ii)] भारत का राजपत्र : असाधारण 3

ORDER

1. Short title and commencement. - (1) This Order may be called the Restriction on use of Glyphosate Order, 2022.

   (2) It shall come into force on the date of its final publication in the Official Gazette.
2. The use of Glyphosate is hereby restricted and no person shall use Glyphosate except Pest Control Operators.
3. All holders of the certificate of registration granted for Glyphosate and its derivatives shall return the certificate of registration to the Registration Committee for incorporation of the warning in bold letters "THE USE OF GLYPHOSATE FORMULATION TO BE ALLOWED THROUGH PEST CONTROL OPERATORS" on the label and leaflets.
4. If any person who holds the certificate of registration fails to return the certificate to the Registration Committee, referred to in clause (3), within a period of three months, action shall be taken under the provisions contained in the said Act.
5. Every State Government shall take all such steps under the provisions of the said Act and the rules framed thereunder, as it considers necessary, for the execution of this order in the State.

[F. No. 13035/19/2019-PP-I]

Dr. PRAMOD KUMAR MEHERDA, Jt. Secy. (PP)

Source: Company, Dalal & Broacha Research

Glyphosate key product for Sumitomo contributes roughly **~11-12% of overall sales** was not banned but will have restricted use through Pest control operators (PCO's) as per latest notification from government

Glyphosate market in India : Rs. 11,000 Mn (SCIL's market share is close to 30%)

SCIL Glyphosate sales in :

Domestic market : ~Rs.3,100-3,200 Mn

Export market : ~Rs.500 Mn (no restriction on exports)

Total sales : ~Rs.3,700 Mn

Glyphosate Domestic/Export volume growth : -40% YoY basis(mainly due to seasonality impact) / +451% on YoY basis (because of small base effect)

Glyphosate Gross margin for the company : 25-27% vs 37-38% company level gross margin

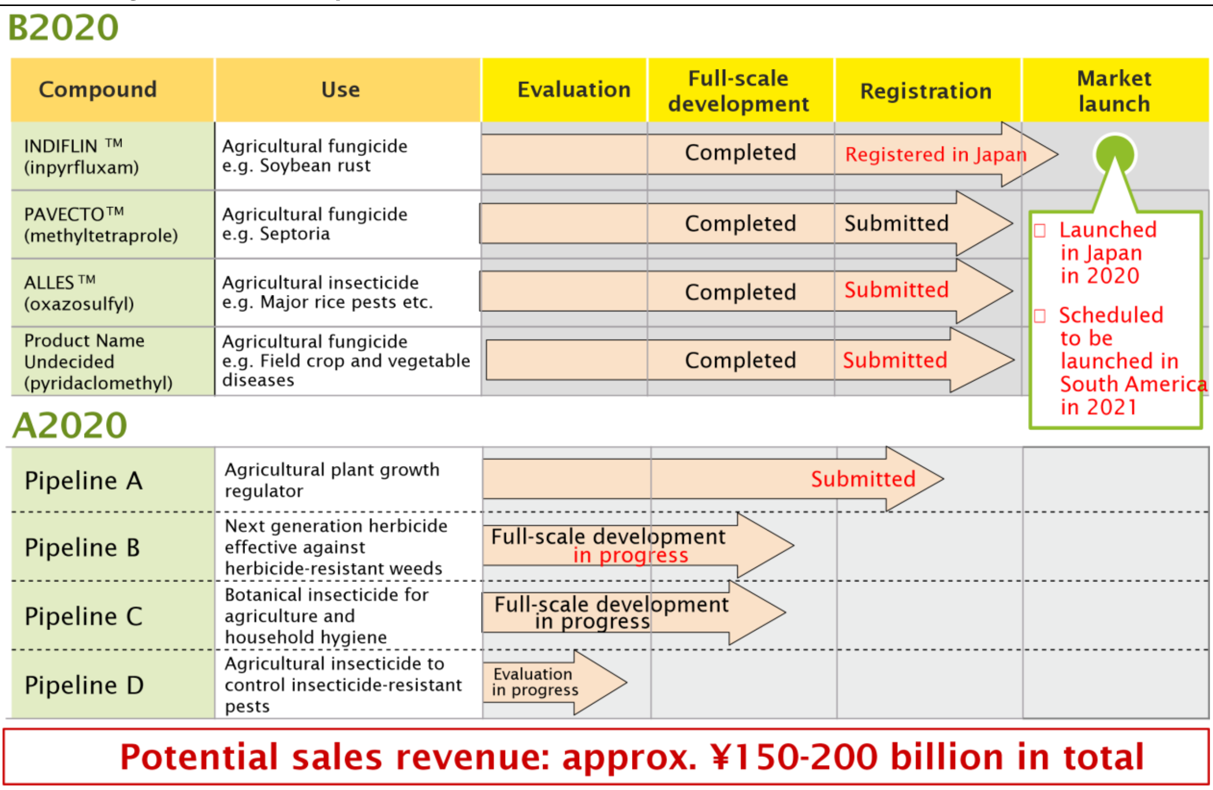
Company taking corrective action to appoint PCOs to sprinkle the pests (May look for lucrative/value add services to farmers) ; Approx timeline : 6 Months ; May look for field staff, dealers to apply for PCO license & get it done through them. Till then company to focus on export market of glyphosate as H2 is seasonally strong for glyphosate in export market. There is no substitute as of now for glyphosate however continues to remain an essential product for farmers ; there is a nearby product of parent SCC Japan but it is not as cost effective as compared to glyphosate. Glufosinate is also not a substitute for glyphosate, management indicated in Q2FY23 concall. Glyphosate is sprinkled largely on tea & rubber plantations. Legalising HT BT Cotton to increase glyphosate demand upto 30% in the long run as it has to be sprinkled in combination with HT BT Cotton & mustard crops

EPS Impact : ~Rs.0.75 would be the worst case EPS impact for Sumitomo Chemicals based on our calculation which is factored in our model.

Price Impact : Median PE of Sumitomo Chemicals has been in the range of 45x when multiplied by the impact EPS of Rs.0.75 gives us a price impact of ~Rs.34 which is largely factored in price after the notification came

(Refer link for government notification : https://egazette.nic.in/WriteReadData/2022/239860.pdf)

Exhibit 27: Strong product pipeline of SCC Japan to indirectly benefit SCIL as it is the only technical manufacturing site outside Japan



Source: SCC Japan Investor Presentation, Dalal & Broacha Research

SCIL to benefit indirectly from several product launches by SCC Japan (Parent).SCC Japan (Parent) has spent ~1 Bn $ on R&D in last few years & is expected to commercialize these products & expected to generate global revenue close to ~1.3 Bn $ (~Rs.100,000 Mn) based on estimates mentioned in SCC Japan's Investor Presentation.

To manufacture these new formulated products SCC Japan needs technical manufacturing in house (To maintain stability of newer products, technical manufacturing has to be closer to the R&D facility.i.e.Japan).Since no new additional technical manufacturing facility is going to come in Japan & to create space for newer molecules, by-default older molecules will be shifted to India as it is the only technical manufacturing facility outside Japan for Sumitomo group. SCC Japan believes technicals are key ingredients & cannot be outsourced to others for manufacturing. Another reason is when one manufactures technical in-house they can continue to build stickiness even after product goes off-patent as it will be very difficult for other companies to re-engineer the entire process.

Also, Tebuconazole (SCIL's product) is a combination product which will be used with Indiflin (Patented molecule by Parent,SCC Japan).SCIL is expected to double the capacity over the next few years as sales pick up in South America where SCC Japan will be marketing the product through Nufram's distribution network.

FY22 Annual Report Analysis

New Products/Improvements/Expansions

- **Launches:** 1 new product in Herbicides and Fungicides group as well as 4 new products in Insecticides group in FY22
- **Expansion for Sumitomo Japan:** Proprietary technical grade active ingredients product

  Timeline: 1st project – expect commercialization in FY23

  2nd Project – expect commercialization in FY24
- Completed feasibility study for introducing 3 new technical grade products.

Product Profile

Present in all the product segments insecticides, weedicides, fungicides, fumigants and rodenticides,plant growth nutrition products, biorationals and plant growth regulators.

Sales break up for agro solution business (FY22):

- Insecticides – 47%
- Herbicides – 22%
- Plant growth regulators – 10%
- Fungicides – 11%
- Metal phosphides – 10%

Segment Breakup (FY22):

- Generic: 70%
- Speciality: 30%

Bulk & Branded (FY22):

- **Domestic**
  - **Bulk: 21%**
  - **Branded: 79%**
- **Exports**
  - **Bulk: 76%**
  - **Branded: 24%**

Key Products

- Glyphosate (Herbicide)
- Profenophos (Insecticide)
- Dantotsu (Insecticide)
- Tebuconazole (Fungicide)
- Progibb (Plant growth regulator)

Industry Outlook

- Agriculture sector contributes **18% of country's GDP**
- India is the **4th largest producer** of agrochemicals in the world after USA, Japan and China.
- The Indian agrochemicals industry was valued at around USD **5.72 billion (~Rs.43,000 crs)** in the financial year 2020-21, almost equally accounted for by domestic consumption (approximately USD 2.72 billion) and exports (approximately USD 3.00 billion).Expected to grow at a CAGR of 8–10% till 2025.
- India is the **5th largest exporter** of agrochemicals
- Consumption of agrochemicals in India is very low **(0.6 kg/ha)** as compared to agriculturally advanced countries like as China (13.1 kg/ ha), Japan (11.8 kg/ ha), Brazil (6kg/ha) and USA (2.5 kg/ ha) (ha = hector)
- China + 1 Procurement model along with continued healthy demand from Brazil and the US (accounting for about 45% of India's exports) and increasing supplies to Europe (accounting for about 15% of Indian exports), is expected to lead to exports growing at 15 per cent this fiscal and 12-13 per cent in the next year.
- Higher area under cultivation and increase in minimum support prices for key crops such as paddy, cotton, groundnut, soybean and bajra, which account for about two thirds of the domestic crop production, should further boost agrochemicals sector.
- The government is expected to bring a production linked incentive scheme for promotion of the domestic manufacturing of agrochemicals.
- Indian farmer loses around 20-25% of the production to pests and diseases.
- Indian agrochemical industry's dependence on China for sourcing critical raw materials and intermediates is an area of concern.
- Due to higher cost inventory and slower receivables, the industry's working capital remained stretched **(Sumitomo's Net Working Capital Days: FY22 – 133 days vs FY21 – 104 days)**

Going Forward:

- IMD and Skymet have predicted India's fourth consecutive normal monsoon
- Good rabi season, higher crop realizations, good water reservoir levels and monsoon forecast – Farmers sentiment appears to be positive

Employees

- Permanent: 1,696
- Contractual: 3,717

Risks & Concerns

- Complexity of rural marketing
- MSP realization
- Farmer support policy implementation
- Low land holding
- Lack of irrigation facility

Key Ratios

RoNW: FY21: 25.24%
FY22: 25.13%

Geographical Breakup

- India/Domestic: 78%
- Exports: 22%

Capex Plan:

- Maintenance Capex: Rs70-75 crs p.a
- Additional Capex: Rs120 crs over 2 years for 5 products
  (5 products have been approved in-principle for supply to SCC Japan)
- Revenue potential of these 5 products on the above capex is Rs. 200-250 crs p.a.
- Estimated margins are in line with current margins earned by SCIL for similar projects (18-20% EBITDA Margin)
- Commercial production is expected to start in Q1FY22-23 for one product & during Q1FY24 for second project involving multiple products

Other Key Data & Metrics

- Grown 13x over FY11-22 (On an organic basis, grown 6x+)
- 5 Manufacturing Facilities
- 14 Technical Actives
- 40,000+ dealers
- 16,000+ direct distributors & 60+ depots
- 4.4 Mn+ Farmers connected
- ~600 Sales Team
- 25+ patents & 200+ registrations
- R&D Expenses as a % of sales: 0.4%
- Crossed Rs.30,000 Mn sales mark in FY22
- Cash + Liquid Investments = Rs.5,990 Mn as on 31st March 2022

Simplifying Concepts

Kharif Season:

- In India, the season is popularly considered to start in June and end in October. Kharif crops are typically sown at the beginning of the first monsoon rains.
- Harvesting season begins from the 3rd week of September to October.
- **Examples of Kharif crops:**
  Rice,Maize,Sorghum,Bajra,Soybean,Cotton

Rabi Season:

- They are grown in October or November. These crops require frequent irrigation. These are the crops that are sown at the beginning of the winter season.
- The crops are then harvested in spring.
- **Examples of Rabi crops:**
  Wheat, Barley, Oats, Pulses, Mustard, Linseed

Where is Sumitomo India placed in agrochemical universe?

- The Indian agrochemicals industry is highly diverse. It has players who are small and medium dealing in generic off patent molecules.
- It has players who are large multinationals with high priced new generation and patented molecules.
- The industry has players who manufacture only technical grade pesticides. Some players are pure formulators.
- The industry also has some players who produce both – technical grade pesticides and formulations.
- There is an ancillary segment which manufactures intermediates for technical grade pesticides.
- Sumitomo is one of the leading players in the industry which has a balanced portfolio of technical as well as formulation products along with backward integration for some products.

Director Remuneration

- Chetan Shah (Managing Director): Rs.72.03 Mn
- Sushil Marfatia (Executive Director): Rs.23.84 Mn

Auditors

- Statutory Auditors: M/s. SRBC & CO LLP (Part of Ernst & Young,India)
- Audit Fees: Rs.6.36 Mn

Exhibit 28: Checklist (Tick on all factors)

Check List

☑ **Promoter Quality**
Experienced Indian Management backed by Japanese principles of 'JIRI – RITA'

☑ **Revenue Front**
Strong Product Pipeline with superior execution capabilities ; Low client concentration ; diversified geographies

☑ **Product Front**
R&D backed products with strong brand recall value ; Diversified Products ; Generic + Speciality

☑ **Raw Material Front**
Manufactures key technicals in-house ; Backward integrated in key products ; low China dependency

☑ **Future Prospect**
Manufacturing for SCC Japan (parent) ; Supply to Nufram LATAM ; India Business (Speciality + Generic)

☑ **Distribution**
One of the largest distributor network with strong on-ground team across India

☑ **Pricing power**
Strong pricing power due to stickiness from farmers ; on-ground field workers to built stickiness with no sales target

☑ **Margins**
Cost + % margin to provide margin consistency

☑ **Competitive Landscape**
MNC with strong R&D,manufacturing & distribution capabilities

☑ **Industry Landscape**
~US$ 4.1 bn molecules expected to go off-patent by 2026 ; MNCs to be at forefront to capture this opportunity

☑ **Moat**
From R&D to manufacturing to distribution ; entire value chain under self-control

Valuation & Outlook

SCIL is a proxy & consistent MNC play in the agrochemical space. We believe SCIL has all the right ingredients required for long term investment. SCIL has complete control over entire value chain from R&D to manufacturing to distribution.4 legs of growth (Supply to parent, supply to Nufram, Indian speciality & generic portfolio) to provide strong revenue visibility. Also management has guided to maintain company level EBITDA margin providing strong margin visibility along with wide spread distribution & strong brand stickiness amongst farmers. SCIL has decided to invest 15% of EBITDA every year as capex. SCIL aims to be no.1 in India for which it has lined up strong product pipeline & aims to commercialise few parent molecules in India.

SCIL's speciality business has grown 20x from Rs.500 Mn to Rs.10,000 Mn in last 10-11 years whereas SCIL's generic portfolio has grown 2x from ~Rs.8,000-10,000 Mn to ~Rs.20,000 Mn in last 5 years adding to total revenue to ~Rs.30,000 Mn (FY22 revenue).We expect revenue/EBITDA/PAT to compound at 18%/21%/21% for FY23-25E going forward.

SCIL has various moats in the form of access to royalty free R&D from parent (blessing in disguise),widespread PAN India distribution (1,500+ onground field workers with no sales target) building strong stickiness with farmers, only technical manufacturing facility outside Japan, supply opportunities to parent & LATAM,low product concentration & diversified customers & geographies.

We have a **BUY** rating on the stock valuing SCIL at 40x FY25E EPS of Rs.14.7 arriving at a target price of Rs.588 implying an upside of 29% compared to current market price of Rs.455.Our premium valuation multiple is with respect to strong moat created by company over the years, revenue & margin visibility along with strong product pipeline & consistent performance.

Peer Comparison

Company Name	CMP (₹)	Mcap (₹ Mn)	Revenue (₹ Mn)			EBITDA (₹ Mn)			PAT (₹ Mn)			Adj EPS			PE			Revenue CAGR (FY23-25E)	EBITDA CAGR (FY23-25E)	EPS CAGR (FY23-25E)
			FY23E	FY24E	FY25E	FY23E	FY24E	FY25E	FY23E	FY24E	FY25E	FY23E	FY24E	FY25E	FY23E	FY24E	FY25E			
PI Industries *	3,383	5,00,170	65,493	78,305	93,028	14,922	18,176	21,915	11,300	13,761	16,578	74.5	90.8	109.2	45.4	37.3	31.0	19%	21%	21%
UPL Ltd *	770	5,85,410	5,32,709	5,80,058	6,32,210	1,19,677	1,30,863	1,44,309	46,942	56,840	64,698	62.3	75.1	85.7	12.4	10.3	9.0	9%	10%	17%
Bayer Crop Science *	4,532	2,03,160	53,840	59,125	62,977	9,612	11,042	11,978	7,098	8,362	8,935	158.0	184.5	198.8	28.7	24.6	22.8	8%	12%	12%
Rallis India *	237	45,020	30,231	33,801	38,111	3,240	4,050	4,830	1,881	2,384	2,847	9.7	12.1	14.6	24.5	19.5	16.2	12%	22%	23%
Dhanuka Agritech *	705	33,630	16,613	18,832	19,914	2,865	3,356	3,525	2,250	2,554	2,941	48.6	55.1	63.7	14.5	12.8	11.1	9%	11%	15%
SCIL	**455**	**2,27,060**	**36,441**	**42,184**	**50,974**	**7,133**	**8,492**	**10,510**	**5,017**	**5,938**	**7,338**	**10.1**	**11.9**	**14.7**	**45.3**	**38.2**	**30.9**	**18%**	**21%**	**21%**
V/s BB Consesus *	455	2,27,060	36,100	41,625	48,907	6,759	8,156	9,887	5,285	6,366	7,775	10.6	12.7	15.6	43.1	35.8	29.2	16%	21%	21%
Difference			***341***	***559***	***2,067***	***374***	***336***	***623***	***-268***	***-428***	***-437***	***-0.5***	***-0.8***	***-0.9***	***2***	***2***	***2***	***2%***	***0%***	***-1%***

**Bloomberg Est*

Key Risk in the business

- Glyphosate(Key product) put on restricted use
- Erratic monsoon & low rainfall
- Ban of any key products
- Parent delisting any subsidiary to take it private
- Raw material inflation
- Seasonality impact in any geography
- Change in government policies

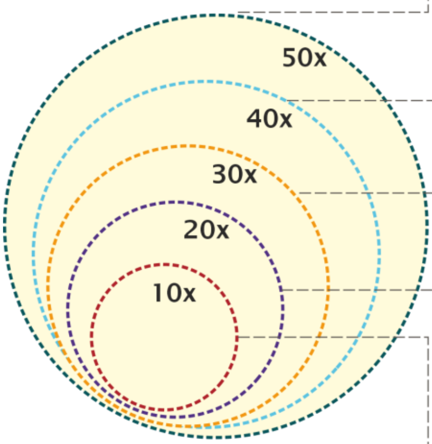
Brief overview of various agrochemical stocks under different PE basket

Stock basket:
- **Sumitomo Chemicals**
- **PI Industries**

Key Highlights:
- Moated businesses
- Strong revenue & margin visibility
- Strong distribution
- Growing opportunities & business segments
- Strong stickiness with farmers / customers
- Pricing power
- Brands
- Complete control over value chain
- Guarded technology
- High entry barriers
- Experienced Management

.Stock basket:
- **Bayer Cropscience**

Key Highlights:
- High control over value chain
- Pricing power
- Brands
- High stickiness with farmers
- MNCs
- Formal decision making
- Multiple segments to support growth
- Low cyclicality in revenue & profitability
- Dividend paying
- Focused on cashflows



.Stock basket:
- **Rallis**
- **Bharat Rasayan**

Key Highlights:
- Brands
- Medium stickiness with farmers
- Better product profile
- Long term prospects
- Historical track record

Stock basket:
- **Meghmani Organics**
- **Sharda Cropchem**

Key Highlights:
- Low stickiness & pricing power
- Cyclicality in revenue & margins
- Lower control over supply chain
- B2B

Stock basket:
- **Heranba Industries**
- **UPL**
- **Dhanuka**
- **Punjab Chemicals & Crop Protection**
- **Insecticides India ;**
- **Best Agro**

Key Highlights:
- Backward Integrated to some extent
- Medium control over value chain
- Growing opportunity size
- Medium revenue & margin visibility
- Medium stickiness with farmers
- Low to medium disclosures
- Entering New Verticals
- Capex plans under execution
- Low to medium disclosures

(Above key highlights are indicative & not conclusive)

Brief Highlights about Parent Company (SCC Japan) & subsidiary (SCIL)

About Sumitomo

- Sumitomo started business in Japan in early 16th Century (400 years+)
- Currently several Sumitomo founded companies operate as independent listed companies with widespread shareholding and run by its professional boards
- Even today, all Sumitomo companies continue to follow basic business philosophy and ethical practices of Sumitomo

About Sumitomo Chemical Company Limited, Japan (SCC)

- SCC was founded in 1913 and undertakes several chemical related businesses as an independent listed company
- SCC is a leading Japanese research driven diversified chemical company listed on the Tokyo Stock Exchange with consolidated sales revenue of more than US$ 22.5 bn
- Offers diverse range of products globally in 5 business sectors:
- Petrochemicals, energy and functional materials, IT-related chemicals and materials, pharmaceuticals and health and crop sciences sector
- SCC holds 12,600+ Patents of which ~34% are in Health & Crop Science

SCC's Health and Crop Science Sector - Undivided Focus for Leadership in India

- Health & Crop Sciences Sector – Revenue of more than US$ 3.8 bn
- Leading R&D spenders globally among agro-solution players
- Strong pipeline of Agro-Solutions and Environmental Health products with very high business potential of ~US$1.4 -$1.8 bn
- SCC recently acquired Nufram's distribution in Latin America thereby gaining leadership position in Latin America Generics Market Segment
- Sumitomo Chemicals India Limited(SCIL) is flagship entity of SCC group focusing on high potential Indian market; only TG grade manufacturing site outside Japan and part of SCC's growth strategy
- SCC will continue to support SCIL to achieve market leadership position in Indian market

Sumitomo Chemical India Ltd (SCIL)

- Formidable Player in the Indian Agrochemicals Space
- Seen a journey to 13x Growth in India
- Diversified & De-risked Portfolio Across the Agro-Chem Value Chain
- Strong Brand and Well-Entrenched Distribution Network
- Strategically Located Manufacturing Facilities
- Strong Focus on R&D, Process Innovation and Safety, Health and Environment (SHE)
- Autonomous Board with Vast Industry Experience

FAQs

SCIL Related FAQs	
1	**Why Agrochemical Industry & why Sumitomo Chemicals India?**
	Food security is a major concern amid rising population & limited land resource. Yield improvement is critical for increasing food production to feed growing population & hence crop protection products are critical to reduce crop losses. SCIL is formidable & consistent MNC in growing agrochemical market rightly placed to capture domestic as well as international growth. SCIL has access to royalty free R&D,manufacturing capabilities & strong distribution network having full control of value chain.
	What has led to margin expansion for Sumitomo Chemicals India?
	SCIL's merger with excel crop care business has enabled speciality sales to improve its distribution with generic product marketing ; operating leverage ; introduction of newer products ; cost rationalization & merger synergies
	What is the per hectare consumption of agrochemicals in India & how has it moved over the years?
	India consumes ~0.6/0.7/hectare consumption & this level has been constant since last 20 years
	How important is volume & product mix in agrochemical industry?
	Ideally one should not focus much on volume growth as it will not be a true indicator in agrochemical industry. Quantity does not really matter because with time product efficacy improves & thereby quantity sprinkled reduces so product mix matters more than product volume ; Growth is largely driven by product mix by introducing high value products with low concentration level instead of high concentration products with low value & high volume
	Do all farmers buy agrochemical in India ? What is the ground level reality of farmers ?
	Indian farmers having < 1 acre generally do not buy agrochemicals
	What is the mix of Indian agrochemical market w. r. t generic & speciality
	75% market of Indian market is generics & only 25% is speciality (newer product
	What has been the R&D Spend of SCC Japan in Health & crop protection business in last few years ?
	SCC Japan has spent close to ~1Bn US$ on R&D for developing various unique products.SCC Japan has been one of the highest R&D spenders amongst peers
	What is the usual timeline of newer products to be readily acceptable by farmers
	Usually newer products take 4-5 years to fully be acceptable by farmers
	Why will a farmer buy speciality product vs generic product ?
	Farmers have realized the need for speciality products as India becomes an export market for quality fruits & vegetables various factors such as texture, color, size & quality is depedent on speciality products ; MSP Farmers generally don't tend to buy speciality products ; Local generic companies do not put efforts on speciality products but their focus lies on generic products. SCIL being an MNC is focused on both speciality + generic
	What is the strategy on mergers & consolidation happening in industry

	In Last 5-10 years there has been consolidation across industry ; Top 10 companies have become 5 now ; However, SCIL did not spend heavily on R&D ; SCIL went for smaller mergers ; Going forward SCIL's & SCC's focus is on commercialisation of researched molecules
	Why would a farmer buy SCIL product vs other company's product?
	There is no golden thumb rule that farmer would buy SCIL product only ; but since SCIL has 2k on-ground field officers with no sales target who educate farmers on regular basis ; stickiness of farmers tend to be more with SCIL vs other local generic players
	Important reference links :
	To track rainfall across India : IMD Website https://mausam.imd.gov.in/imd_latest/contents/index_rainfall_state_new.php
	What is difference between speciality & generic products in agro-chemicals?
	Speciality products are usually 9(3) molecules ; solution is unique or specific to any crop related problems ; could be off-patented or others are not expert in that product Generic products are usually off-patented molecules introduced by various generic companies by reverse formulating the product once patent period of that molecule gets over
	How big is SCC's speciality business & where are key technicals required for formulation sourced from?
	SCC's speciality business is ~3Bn US$; 100% technicals are made in Japan ; currently only 1 technical product is made in India ; since no new facility is going to be commissioned in Japan we expect production of technicals to shift to India because it is the only technical manufacturing outside Japan & SCC does not prefer to outsource technical manufacturing to any 3rd company
	Brief overview on Indiflin product launched by SCC Japan last year?
	Indiflin is a fungicide used to treat soyabean rust which was launched last year by SCC Japan SCC Japan will make this product in Japan & SCIL will sell it Indian market there & we will sell them in india : Revenue potential to SCIL not known
	What is the R&D strength of SCIL?
	SCIL has 75+ people in R&D & close to 25+ PHDs/Scientists constantly working on off-patented products for India
	Key products like Chlorpyriphos & Quinalphos which are on the ban list & its impact to our company
	Chlorpyriphos is banned in few European countries ; 2030 couple of countries were planning to take off this product but now the focus is on food security so it is off the table for now
	When does a farmer buy agrochemical?
	Indian farmers do not have a typical timeline or pattern for buying agrochemicals ; they do not stock & keep but tend to buy when they see pest on ground
	How much does a farmer allocate to agrochemicals out to total farm expenditure that he does?
	Average farmer spends close to 3-4% on generic agrochemical products & 4-5% on speciality agrochemical products out of the total farm spend
	Can organic pesticides replace traditional agrochemicals?
	Organic pesticide consumption is very small ; 1-2% of overall market ; yields are very low compared to chemical pesticides ; if the entire world goes on organic then overall yield will drop by 30-40% & then food security will be a concern

Financials

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	FY25E
Net Sales	24,247	26,449	30,646	36,441	42,184	50,974
Operating Expenses	-16,076	-16,554	-19,080	-22,958	-26,576	-32,114
Employee Cost	-1,793	-1,943	-2,020	-2,182	-2,418	-2,673
Other Expenses	-3,047	-3,084	-3,547	-4,168	-4,698	-5,678
Operating Profit	**3,331**	**4,869**	**5,999**	**7,133**	**8,492**	**10,510**
Depreciation	-410	-466	-448	-640	-761	-899
PBIT	2,922	4,403	5,551	6,494	7,731	9,611
Other income	107	186	268	281	281	281
Interest	-55	-56	-62	-68	-75	-82
PBT	2,974	4,533	5,757	6,707	7,938	9,810
Profit before tax	2,665	4,533	5,757	6,707	7,938	9,810
Provision for tax	-618	-1,079	-1,522	-1,690	-2,000	-2,472
Profit & Loss from	-	-	-	-	-	-
Reported PAT	2,046	3,454	4,235	5,017	5,938	7,338
MI	-	-1	0	-	-	-
Owners PAT	2,046	3,453	4,235	5,017	5,938	7,338
Adjusted Profit	**2,284**	**3,453**	**4,235**	**5,017**	**5,938**	**7,338**

Balance Sheet (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	FY25E
Equity capital	4,991	4,991	4,991	4,991	4,991	4,991
Reserves	7,226	10,421	14,281	18,796	24,140	30,744
Net worth	**12,218**	**15,412**	**19,272**	**23,787**	**29,131**	**35,736**
MI	-	1	0	-0	-0	-0
Non Current Liabilites	445	496	610	670	741	825
Current Liabilites	8,399	10,810	10,214	12,373	14,200	16,972
TOTAL LIABILITIES	**21,062**	**26,719**	**30,096**	**36,831**	**44,073**	**53,533**
Non Current Assets	3,606	3,676	4,876	6,742	7,426	8,176
Fixed Assets	2,948	2,925	3,892	5,747	6,419	7,157
Right of Use Assets	349	311	363	363	363	363
Financial Assets	1	53	301	301	301	301
Deferred Tax Asset	213	204	216	223	229	236
Advances	53	8	8	8	8	8
Assets	41	176	95	100	105	110
Current Assets	**17,456**	**23,044**	**25,221**	**30,089**	**36,647**	**45,357**
Current investments	860	2,902	3,560	3,916	4,308	4,739
Inventories	5,880	7,544	9,378	11,007	12,742	15,397
Trade Receivables	8,498	8,482	8,431	9,984	11,557	13,966
Cash and Bank Balances	935	2,421	792	2,080	4,938	8,154
Advances	79	23	5	47	47	47
Other Financial Assets	218	169	1,745	1,745	1,745	1,745
Other Current Assets	986	1,503	1,310	1,310	1,310	1,310
TOTAL ASSETS	**21,062**	**26,719**	**30,096**	**36,831**	**44,073**	**53,533**

Cashflow (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	FY25E
Net Profit	2,046	3,453	4,235	5,017	5,938	7,338
Add: Dep. & Amort.	410	466	448	640	761	899
Cash profits	**2,456**	**3,919**	**4,684**	**5,656**	**6,699**	**8,237**
(Inc)/Dec in						
-Sundry debtors	-1,788	15	51	-1,553	-1,573	-2,408
-Inventories	926	-1,664	-1,834	-1,630	-1,735	-2,655
-Loans/advances	-41	-441	-1,209	-53	-12	-12
-Current Liab and Provisions	716	2,441	-620	2,164	1,832	2,778
Change in working capital	-187	352	-3,612	-1,072	-1,488	-2,298
CF from Oper. activities	**2,269**	**4,271**	**1,072**	**4,585**	**5,210**	**5,939**
CF from Inv. activities	**-1,693**	**-2,498**	**-2,374**	**-2,850**	**-1,825**	**-2,068**
CF from Fin. activities	**-155**	**-287**	**-327**	**-446**	**-528**	**-656**
Cash generated/(utilised)	422	1,485	-1,629	1,289	2,858	3,216
Cash at start of the year	513	935	2,421	792	2,080	4,938
Cash at end of the year	935	2,421	792	2,080	4,938	8,154

Ratios	FY20	FY21	FY22	FY23E	FY24E	FY25E
OPM	13.7	18.4	19.6	19.6	20.1	20.6
NPM	9.4	13.0	13.7	13.7	14.0	14.3
Tax rate	-23.2	-23.8	-26.4	-25.2	-25.2	-25.2
Growth Ratios (%)						
Net Sales	10.4	9.1	15.9	18.9	15.8	20.8
Operating Profit	14.6	46.1	23.2	18.9	19.1	23.8
PBIT	12.0	50.7	26.1	17.0	19.1	24.3
PAT	23.4	68.8	22.6	18.5	18.4	23.6
Per Share (Rs.)						
Net Earnings (EPS)	4.10	6.92	8.49	10.05	11.90	14.70
Cash Earnings (CPS)	4.92	7.85	9.38	11.33	13.42	16.50
Dividend	0.53	0.55	0.80	1.01	1.19	1.47
Book Value	24.48	30.88	38.61	47.66	58.36	71.59
Free Cash Flow	3.49	7.76	-0.72	4.17	6.83	7.90
Valuation Ratios						
P/E(x)	111	66	54	45	38	31
P/B(x)	19	15	12	10	8	6
EV/EBIDTA(x)	68	46	37	31	26	20
Div. Yield(%)	0.12	0.12	0.18	0.22	0.26	0.32
FCF Yield(%)	0.77	1.71	-0.16	0.92	1.50	1.74
Return Ratios (%)						
ROE	19%	22%	22%	21%	20%	21%
ROCE	25%	30%	30%	28%	28%	28%
RoIC	22%	35%	29%	28%	30%	32%

Source: Company, Dalal & Broacha Research

Disclaimer

Dalal & Broacha Stock Broking Pvt Ltd, hereinafter referred to as D&B (CINU67120MH1997PTC111186) was established in 1997 and is an integrated financial services player offering an extensive range of financial solutions and services to a wide spectrum of customers with varied needs ranging from equities to mutual funds to depository services.
D&B is a corporate trading member of Bombay Stock Exchange Limited (BSE), National Stock Exchange of India Limited (NSE). D&B along with its affiliates offers the most comprehensive avenues for investments and is engaged in the securities businesses including stock broking (Institutional and retail), depository participant, portfolio management and services rendered in connection with distribution of primary market issues and financial products like mutual funds, fixed deposits. Details of associates are available on our website i.e. www.dalal-broacha.com
D&B is registered as Research Analyst with SEBI bearing registration Number INH000001246 as per SEBI (Research Analysts) Regulations, 2014.
D&B hereby declares that it has not defaulted with any stock exchange nor its activities were suspended by any stock exchange with whom it is registered in any time in the past. It has not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has its certificate of registration been cancelled by SEBI at any point of time.
SEBI and Stock Exchanges have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on D&B for certain operational deviations in routine course of business.
D&B offers research services to clients as well as prospects. The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

Other disclosures by D&B (Research Entity) and its Research Analyst under SEBI (Research Analyst) Regulations, 2014 with reference to the subject company(s) covered in this report-:

D&B or its associates may have financial interest in the subject company.

D&B or its associates do not have any material conflict of interest in the subject company.

The Research Analyst or Research Entity (D&B) has not been engaged in market making activity for the subject company.

D&B or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report.

Disclosures in respect of Research Analyst:

Whether Research Analyst or his/her relatives have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report:	No
Whether the Research Analyst or his/her relative's financial interest in the subject company.	No
Whether the research Analyst has served as officer, director or employee of the subject company	No
Whether the Research Analyst has received any compensation from the subject company in the past twelve months	No
Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report	No

D&B and/or its affiliates may seek investment banking or other business from the company or companies that are the subject of this material. Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that may be inconsistent with the recommendations expressed herein.

In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest including but not limited to those stated herein. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject D&B or its group companies to any registration or licensing requirement within such jurisdiction. Specifically, this document does not constitute an offer to or solicitation to any U.S. person for the purchase or sale of any financial instrument or as an official confirmation of any transaction to any U.S. person. Unless otherwise stated, this message should not be construed as official confirmation of any transaction. No part of this document may be distributed in Canada or used by private customers in United Kingdom. All material presented in this report, unless specifically indicated otherwise, is under copyright to D&B. None of the material, nor its content, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party, without the prior express written permission of D&B . All trademarks, service marks and logos used in this report are trademarks or registered trademarks of D&B or its Group Companies. The information contained herein is not intended for publication or distribution or circulation in any manner whatsoever and any unauthorized reading, dissemination, distribution or copying of this communication is prohibited unless otherwise expressly authorized. Please ensure that you have read “Risk Disclosure Document for Capital Market and Derivatives Segments” as prescribed by Securities and Exchange Board of India before investing in Indian Securities Market. In so far as this report includes current or historic information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Name	Designation	E-mail	Phone	Sector
Mr Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022-67141442	Retail | FMCG | Logistics
Mr. Bhavya Gandhi	Analyst	bhavya.gandhi@dalal-broacha.com	022-67141486	Midcaps | Agrochem | Hospitals
Ms. Anusha Raheja	Analyst	Anusha.raheja@dalal-broacha.com	022-67141489	BFSI
Mr. Harsh Shah	Analyst	Harsh.shah@dalal-broacha.com	022-67141496	Midcaps

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.
Tel: 91-22- 2282 2992, 2287 6173 | E-mail: equity.research@dalal-broacha.com